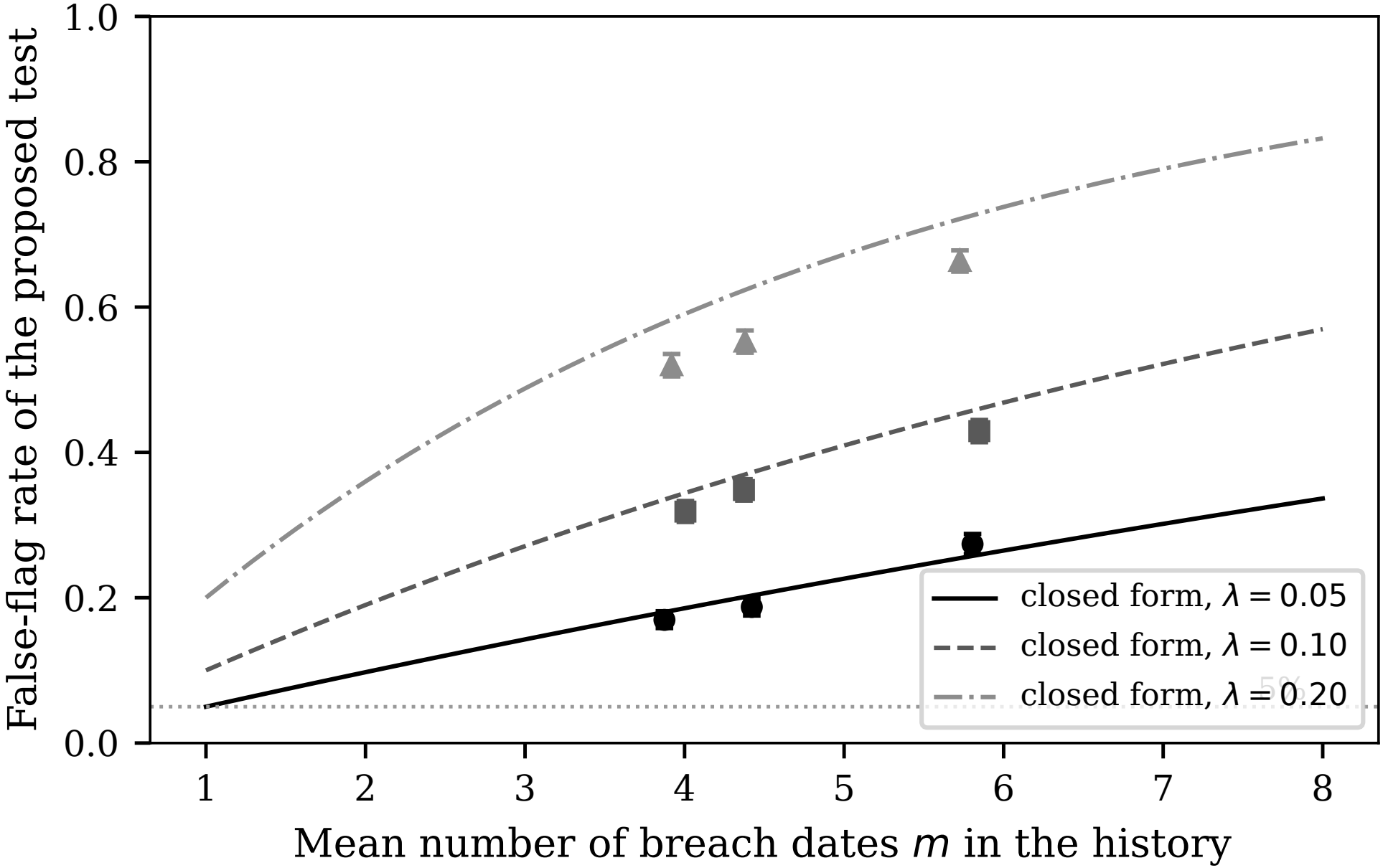
False-flag rate of the proposed test
1.0
0.8
0.6
0.4
0.2
0.0
1
2
3
4
5
6
7
8
Mean number of breach dates m in the history
closed form, $\lambda = 0.05$
closed form, $\lambda = 0.10$
closed form, $\lambda = 0.20$
5%